Subject: RE: Union Pacific Authority
Date: Wednesday, August 20, 2025 at 8:46:03 AM Central Daylight Time
From: Hoopes, Jackson
To: Haran, Richard
Attachments: image001.png, image002.png, image003.png, image004.png, image005.png, image006.png, image007.png, image008.png, image009.png, image010.png, image011.png, image012.png, image013.png, image014.png, image015.png

Yes, the next two layers have confirmed flat.

Jackson Hoopes
Liberty Mutual Insurance

From: Haran, Richard <Richard.Haran@LibertyMutual.com>
Sent: Wednesday, August 20, 2025 9:26 AM
To: Hoopes, Jackson <Jackson.Hoopes@libertymutual.com>
Subject: FW: Union Pacific Authority

Have any other U/L incumbents verbally committed to the renewal? (limit/pricing)

Richard W. Haran Jr.
Vice President
Liberty Mutual Insurance | Ironshore
28 Liberty Street, 5th Floor
New York, NY 10005
Direct: 347-421-0365
richard.haran@Libertymutual.com

From: Hoopes, Jackson <Jackson.Hoopes@libertymutual.com>
Sent: Tuesday, August 19, 2025 3:21 PM
To: Haran, Richard <Richard.Haran@LibertyMutual.com>
Subject: Union Pacific Authority

Hi Rick,

Working on a possible new business opportunity with Allison Carr at Marsh NY on Union Pacific. The opportunity is $15M xs $75M for $100,000. The reason for the opportunity is Nationwide not wanting to keep putting up a $15M limit as well as wanting more rate. This has been a longtime Marsh account, which we have plenty of other lines up on this one. I have inquired about Side-A and ancillary, which are spoken for by Bermuda Layers and isn't up for renewal until December 15th, respectively.

ABC
$15M xs $75M for $100,000
STM: 58.3%
Commission: 0%

Rating Considerations		
Commision	0.0%	
Rating Currency	USD	<< If blank, assumes USD
Current Exchange Rate to 1 USD (CIQ)	1.0000	
3-Month Avg Exchange Rate to 1 USD (CIQ)	1.0000	
Override Exchange Rate		<< If blank, assumes Current CIQ Exchange Rate
Deductible/Retention (USD)	25,000,000	

		Layer Information						US SCA Frequency				US SCA Severity (M)			US SCA Loss Cost			Modeled
Layer	Deductible/ Retention	Attachment in excess of deductible (USD)	Limit (USD)	Signed Line	Policy Type	Sold/ Quoted Premium (USD)	Quoted Premium Type	Expected Frequency	Settlement Rate	Chance to Reach Layer	Excess Exp Freq	Ground-up Severity	Defense Costs	Exp Loss in Layer	Freq x Exp Loss in Layer	PLR	Apprx. US SCA Model Premium	Model Premiu
USD 15m xs 75m	25,000,000	75,000,000	15,000,000	100%	ABC	100,000	Quoted	2.5%	55.0%	47.1%	0.66%	203.7	30.5	14.3	94,603	59%	160,344	171,59
Custom layer	25,000,000																	
Custom layer	25,000,000																	
Custom layer	25,000,000																	
Custom layer	25,000,000																	

**Modeled Premium includes loadings for Merger Objections, Loss Experience Factors, and Side A Only Discount*

NO PROGRAM YET AS THEY ARE STILL WORKING ON PRIMARY
CNA $15M ($25M retention) - $410,000
Chubb $15M x $15M - $266,513
Travelers $15M xs $30M

Union Pacific Corporation eff TBD
Broker: Allison Carr, Marsh NY
No CE

Account Name Search Results for **UNION PACIFIC CORPORATION (LM-4-444340)** as of **7/31/2025**

Account Group	Location, City, State	Account	Distribution Segment	Distribution Department	Product	Month, Day, Year of Exp Date	Policy Number	Underwriter
Grand Total								**$2,**
UNION PACIFIC CORPORATION (LM-4-444340) <Railroad Transportation; Railroads, Line-Haul Operating>	AON BERMUDA LTD, PEMBROKE, ?	UNION PACIFIC CORPORATION (UNIO0070) OMAHA, NE	Specialty	Bermuda Financial Lines & Special Risk	Bermuda Agency > Cyber (IS CYBER)	October 17, 2025	LSMAFL429134A01	SMITH, TIA
		UNION PACIFIC CORPORATION (UNIO1275) OMAHA, NE	Specialty	Bermuda Casualty	Bermuda Agency > Excess Casualty (IS GLXS)	March 1, 2026	LSMAEC104884A06	COSTELLO, MARIA
				Bermuda Property & Energy	Bermuda Agency > Property (IS PROP)	June 1, 2026	LSMAPR478045A01	BALLARD, REECE
	AON FINANCIAL SERVICES, LONDON, ENG	UNION PACIFIC CORPORATION (UNIO0070) OMAHA, NE	LSM Europe	LSM Europe	LSM Europe > EXCESS XS UMBRELLA (EU)	February 1, 2026	1000082216-15	CHENG, ERIC
	AON RISK SERVICES INC OF MARYLAND, BALTIMORE, MD	UNION PACIFIC CORPORATION (UNIO1041) OMAHA, NE	Specialty	Casualty	Transportation > Railroad Liability (RAILROAD)	February 1, 2026	RRHV734586-8	CAPICCHIONI, ROBERT
	AON RISK SERVICES SOUTH INC, ATLANTA, GA	UNION PACIFIC CORPORATION (UNIO1484) UNION, NE	Specialty	Environmental	Environmental > EEL - PLL (IS ENVIRO)	February 1, 2026	IEELPLLB6STY005	BURRUS5, JULIE
	AON RISK SERVICES CENTRAL INC, PHILADELPH..	UNION PACIFIC CORPORATION (SUR-61069291) OMAHA, NE	Surety	Commercial	Surety > Surety (SURETY)	Null	Null	SCANTLAND, CHRISTINA
	EDGEWOOD PARTNERS INSURANCE CENTER, ALPHARETTA, GA	UNION PACIFIC RAILROAD (UNIO2865) OMAHA, NE	Specialty	Casualty	Transportation > Railroad Liability (RAILROAD)	December 4, 2025	RRP0102879-1	KNOTT, TERRI
		UNION PACIFIC RAILROAD (UNIO2904) OMAHA, NE	Specialty	Casualty	Transportation > Railroad Liability (RAILROAD)	September 17, 2025	RRP0102912-1	KNOTT, TERRI
		UNION PACIFIC RAILROAD COMPANY (UNIO1473) TYLER, TX	Specialty	Casualty	Transportation > Railroad Liability (RAILROAD)	November 12, 2025	RRP0100765-5	KNOTT, TERRI
		UNION PACIFIC RAILROAD COMPANY (UNIO2338) OMAHA, NE	Specialty	Casualty	Transportation > Railroad Liability (RAILROAD)	October 3, 2025	RRP0102015-1	KNOTT, TERRI
		UNION PACIFIC RAILROAD COMPANY (UNIO2634) OMAHA, NE	Specialty	Casualty	Transportation > Railroad Liability (RAILROAD)	August 9, 2025	RRP0102514-1	KNOTT, TERRI
		UNION PACIFIC RAILROAD COMPANY (UNIO2782) OMAHA, NE	Specialty	Casualty	Transportation > Railroad Liability (RAILROAD)	March 14, 2028	RRP0102758-1	KNOTT, TERRI
		UNION PACIFIC RAILROAD COMPANY (UNIO2783) OMAHA, NE	Specialty	Casualty	Transportation > Railroad Liability (RAILROAD)	March 14, 2028	RRP0102759-1	KNOTT, TERRI
	AMWINS INSURANCE BROKERAGE, LLC, TORRAN..	UNION PACIFIC RAILROAD (UPRR0005) OMAHA, NE	Specialty	Casualty	Transportation > Railroad Liability (RAILROAD)	September 7, 2025	RRP0102688-1	KNOTT, TERRI
	AMWINS INSURANCE BROKERAGE, LLC, LOS AN..	UNION PACIFIC RAILROAD COMPANY (UNIO2584) OMAHA, NE	Specialty	Casualty	Transportation > Railroad Liability (RAILROAD)	August 29, 2025	RRP0102449-1	KNOTT, TERRI
	RSG SPECIALTY, LLC DBA R T SPECIALTY, LLC, PHOENI..	UNION PACIFIC RAILROAD COMPANY (UNIO2841) OMAHA, NE	Specialty	Casualty	Transportation > Railroad Liability (RAILROAD)	October 22, 2025	RRP0102826-1	KNOTT, TERRI

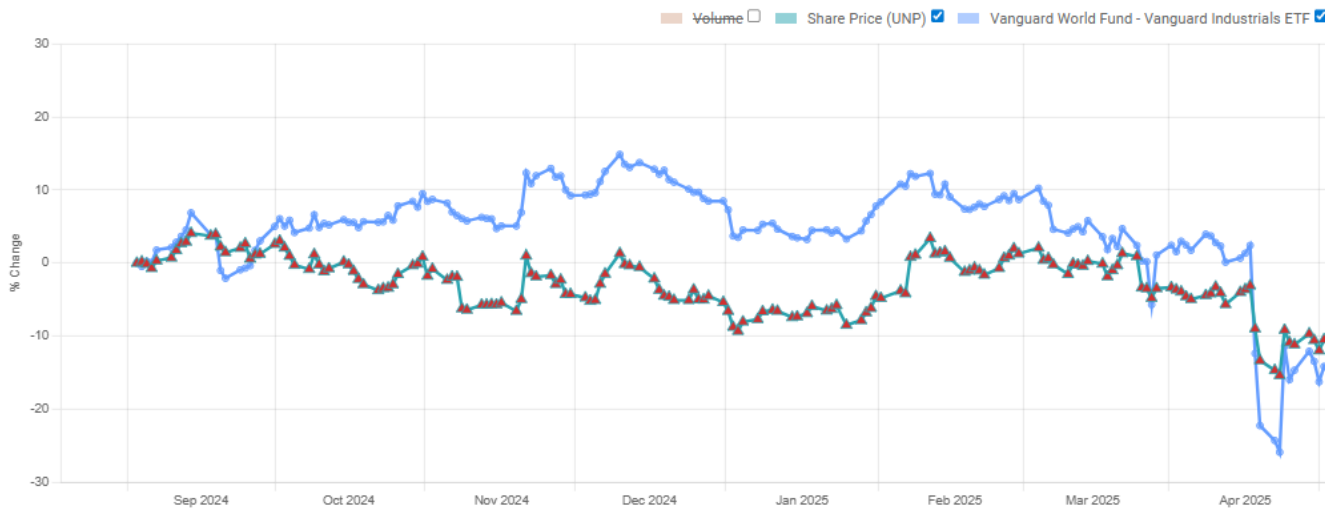
Account Name Search Results for **NORFOLK SOUTHERN CORP (LM-4-444660)** as of **7/31/2025**

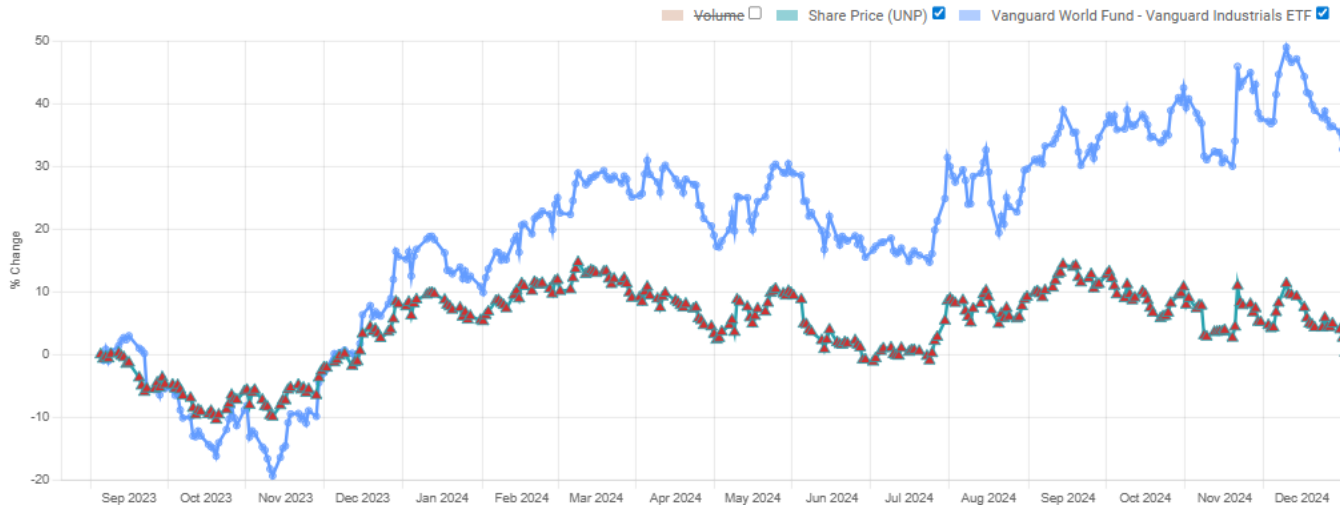
Account Group	Location, City, State	Account	Distribution Segment	Distribution Department	Product	Month, Day, Year of Exp Date	Policy Number	Underwriter
Grand Total								
NORFOLK SOUTHERN RAILWAY COMPANY (LM-4-444660) <Local and Interurban Passenger Transit; Local and Suburban Transit>	AON BERMUDA LTD, PEMBROKE, ?	NORFOLK SOUTHERN CORPORATION (NORF0238) NORFOLK, VA	Specialty	Bermuda Casualty	Bermuda Agency > Excess Casualty (IS GLXS)	November 1, 2025	LSMAEC104672A05	COSTELLO, MARIA
				Bermuda Property & Energy	Bermuda Agency > Property (IS PROP)	June 12, 2026	LSMAPR477315A01	BALLARD, REECE
	AON FINANCIAL SERVICES, LONDON, ENG	NORFOLK SOUTHERN CORPORATION (NORF0001) NORFO..	LSM Europe	LSM Europe	LSM Europe > EXCESS XS UMBRELLA (EU)	November 1, 2025	1000236164-09	CHENG, ERIC
	AON RISK SERVICES SOUTH INC, ATLANTA, GA	NORFOLK SOUTHERN CORP (NORF0505) ATLANTA, GA	Specialty	Environmental	Environmental > EEL - PLL (IS ENVIRO)	November 1, 2025	IEELPLLC5OHZ001	BARNES, KRISTEN R.
	AON RISK SERVICES SOUTHWEST INC, FORT W..	NORFOLK SOUTHERN RAILWAY COMPANY (PORT AUTHORITY (NOR..	Specialty	Casualty	Transportation > Railroad Liability (RAILROAD)	June 1, 2026	XSNY933446-6	CAPICCHIONI, ROBERT
	JAMES A SCOTT & SON INC, ROANOKE, VA	NORFOLK SOUTHERN CORPORATION (SUR-956427012) AT..	Surety	Commercial	Surety > Surety (SURETY)	Null	Null	BRISSEY, LISA
	AON LIMITED BUREAU LMUK, LONDON, ENG	NORFOLK SOUTHERN CORPORATION (NORF0001) NORFO..	LSM Europe	LSM Europe	LSM Europe > Terrorism (EU)	November 1, 2025	LOAB2MCX005	HUSSEY, THOMAS
	AON RISK SERVICES,INC OF WASHINGTON, DC, WASHIN..	NORFOLK SOUTHERN CORPORATION (NORF0229) ATLAN..	LSM West US	Casualty	XLU > SPECIE FINE ART (IS PROP)	December 13, 2025	NYABWYX9006	HOPKINS, LANDON
	RSG SPECIALTY, LLC DBA R T SPECIALTY, LLC, NEW YO..	NORFOLK SOUTHERN RAILWAY COMPANY (NORF0040) NORFOLK, V..	Specialty	Casualty	Transportation > Railroad Liability (RAILROAD)	May 1, 2026	RPHV524496-7	KNOTT, TERRI
	AON RISK SERVICES INC OF MARYLAND, BALTIMORE, MD	NORFOLK SOUTHERN (9-545633) NORFOLK, VA	Major Accounts	Equipment Breakdown	Property > EQUIPMENT BREAKDOWN (EB)	September 21, 2025	YB2L9L545633024	MAYSONET, LISA P
	BRECKENRIDGE INSURANCE SERVICES, LL..	NORFOLK SOUTHERN CORPORATION AND ITS SUBSIDIAR..	Specialty	Casualty	Transportation > Railroad Liability (RAILROAD)	April 22, 2026	RRP0102821-1	KNOTT, TERRI

Summary:
Union Pacific Corporation, through its subsidiary, Union Pacific Railroad Company, operates in the railroad business in the United States. It offers transportation services for grain and grain products, fertilizers, food and refrigerated products, and coal and renewables to grain processors, animal feeders, and ethanol and renewable biofuel producers; and construction products, industrial chemicals, plastics, forest products, specialized products, metals and ores, petroleum, liquid petroleum gases, soda ash, and sand, as well as finished automobiles, automotive parts, and merchandise in intermodal containers. The company was founded in 1862 and is headquartered in Omaha, Nebraska.

Stock performance:
Price: $222 (down 10% YoY and down 3% YTD)
Mkt Cap: $132B
Beta: .75, Float shorted: 5.87%

From April 2 2025 to April 9 2025, the stock price dropped by 13%. The press release reveals that the company's performance stock units (PSUs) granted in 2022 paid out at only 90% of target due to relative operating income growth and return on invested capital (ROIC) metrics not fully meeting goals, and that recent changes in pension value for key executives were negative in 2024 (e.g., -$183,925 for Ms. Hamann, -$195,580 for Mr. Rocker). These disclosures of underperformance on incentive metrics and declining pension values likely contributed to investor concerns and the subsequent drop in stock price. The benchmark index Vanguard World Fund - Vanguard Industrials ETF (VIS) dropped by 13%. This stock price drop was tied to the benchmark index.


Volume
Share Price (UNP)
Vanguard World Fund - Vanguard Industrials ETF
% Change
30
20
10
0
-10
-20
-30
Sep 2024
Oct 2024
Nov 2024
Dec 2024
Jan 2025
Feb 2025
Mar 2025
Apr 2025


Volume
Share Price (UNP)
Vanguard World Fund - Vanguard Industrials ETF
% Change
50
40
30
20
10
0
-10
-20
Sep 2023
Oct 2023
Nov 2023
Dec 2023
Jan 2024
Feb 2024
Mar 2024
Apr 2024
May 2024
Jun 2024
Jul 2024
Aug 2024
Sep 2024
Oct 2024
Nov 2024
Dec 2024

Financials

	YR Ending (Prior Year)	YR Ending (Most Recent)	% Change	Most Recent Qtr
	12/31/2023	12/31/2024		6/30/2025
Balance Sheet				
Cash/ST Investments (includes marketable securities)	$1,071	$1,036	-3%	$1,080
Current Assets	$4,148	$4,021	-3%	$4,183
Total Assets	$67,132	$67,715	1%	$68,576
Current Liabilities	$5,106	$5,254	3%	$6,452
Long Term Debt	$31,047	$29,695	-4%	$30,188
Working Capital	-$958	-$1,233	29%	-$2,269
Income Statement				
Revenues	$24,119	$24,250	1%	$6,154
Operating Income	$9,134	$9,768	7%	$2,539
Net Income	$6,379	$6,747	6%	$1,876
Gross Margins (%)	$53	$56	4%	$56
Cash Flow Statement				
Operating Cash Flow	$8,379	$9,346	12%	$2,333

Second Quarter Income Statement

Reported	2025	2024	Variance	
Freight Revenue Ex. Fuel	$ 5,274	$ 4,969	6	
Fuel Surcharge	569	669	(15)	
Freight Revenue	5,843	5,638	4	
Other Revenue	311	369	(16)	
Operating Revenue	6,154	6,007	2	
Operating Expenses	3,629	3,607	1	
Operating Income	$ 2,525	$ 2,400	5	%
Other Income	123	103	19	
Interest Expense	(335)	(319)	5	
Income Taxes	(437)	(511)	(14)	
Net Income	$ 1,876	$ 1,673	12	%
Weight Average Diluted Shares	594.8	610.3	(3)	
Diluted EPS	$ 3.15	$ 2.74	15	
Operating Ratio	59.0%	60.0%	(1.0)	pts

Freight Revenue Dr

- + Volume 3.75%
- + Price/Mix 2.00%
- − Fuel Surcharge (

Operating Expense

- − Volume-Related
- − Inflationary Pres
- − Crew Staffing Ra Charge
- + Productivity
- + Lower Fuel Price

Positive Aspects

- **Revenue and Earnings Growth:** Union Pacific reported strong financial results for Q2 2025, with earnings per diluted share rising to $3.15 (up from $2.74 in Q2 2024) and net income increasing to $1.9 billion (from $1.7 billion). Operating income rose 5% to $2.5 billion.
- **Operational Efficiency:** Key service metrics improved, including a 10% increase in freight car velocity, a 7% reduction in terminal dwell time, and a 9% improvement in workforce productivity. Locomotive productivity also increased by 5%.
- **Volume and Pricing Gains:** Freight revenues grew 4% in Q2 2025, driven by a 4% increase in volume and core pricing gains, particularly in coal, intermodal, grain, and industrial chemicals.
- **Cost Management:** Operating ratio improved to 59.0% (from 60.0%), reflecting productivity gains and lower fuel prices. Free cash flow and cash flow conversion rates also improved year-over-year.
- **Liquidity and Capital Strength:** The company maintains strong liquidity, with $1.1 billion in cash, $2.0 billion in available credit, and robust free cash flow. Debt to adjusted EBITDA remains healthy at 2.8x.
- **Capital Investment:** Continued investment in infrastructure, safety, and modernization, with a capital plan of $3.4 billion for 2025, supporting growth and operational resilience.

- **Tax Benefits:** Legislative changes (H.R.1) are expected to favorably impact future cash flows through bonus depreciation and software expensing.

Challenges

- **Business Mix and Revenue Headwinds:** Growth was partially offset by lower fuel surcharge revenues and an unfavorable business mix, with increased shipments of lower average revenue per car (e.g., coal and intermodal).
- **Automotive and Fertilizer Weakness:** Automotive and fertilizer volumes declined due to reduced production and tariff uncertainties, impacting premium segment revenues.
- **Inflation and Labor Costs:** Operating expenses increased slightly due to inflation, volume-related costs, and a $55 million crew staffing agreement ratification charge.
- **Interest Expense:** Interest expense rose due to higher debt levels and slightly increased interest rates.
- **Subsidiary and Accessorial Revenue Declines:** Other subsidiary revenues and accessorial revenues decreased, affected by the transfer of commuter operations and lower intermodal equipment sales.
- **Tariff and Geopolitical Uncertainties:** Ongoing tariff issues and global geopolitical tensions (e.g., Russia-Ukraine, Middle East) present risks to demand and supply chains.
- **Regulatory and Environmental Risks:** The company faces potential risks from regulatory changes, environmental remediation costs, and litigation.

Strategic Considerations

- **Productivity Initiatives:** Continued focus on operational efficiency, including train length improvements, asset utilization, and workforce alignment to meet dynamic demand.
- **Capital Allocation:** Maintaining a disciplined capital investment strategy to support network growth, safety, and modernization, while balancing share repurchases and debt management.
- **Business Diversification:** Efforts to grow volumes in coal, grain, intermodal, and industrial chemicals, while mitigating exposure to weaker segments like automotive.
- **Technology and Infrastructure:** Investments in technology, infrastructure hardening, and modernization of locomotive fleet to enhance long-term competitiveness.
- **Liquidity Management:** Proactive liquidity planning and stress-testing to ensure resilience in lower volume scenarios.
- **Regulatory Adaptation:** Monitoring and adapting to legislative changes (e.g., tax law, tariffs) to optimize financial performance and compliance.
- **Risk Management:** Ongoing assessment of macroeconomic, geopolitical, and regulatory risks, with contingency planning for potential disruptions.

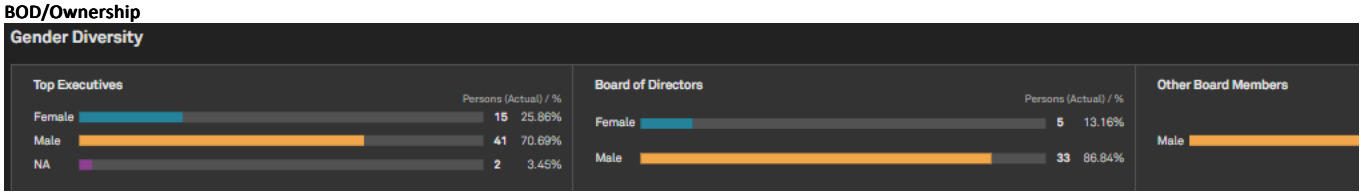
Sentiment Conclusion

Union Pacific's Q2 2025 performance reflects a positive and resilient outlook, characterized by solid financial growth, improved operational metrics, and strong liquidity. While the company faces headwinds from business mix, inflation, and sector-specific weaknesses, its strategic investments and productivity initiatives position it well for continued success. Management remains cautiously optimistic, acknowledging external risks but demonstrating confidence in the company's ability to adapt and sustain performance in a dynamic environment.

M&A

- The transaction of Norfolk Southern Corporation was announced at the end of July 2025, with a purchase price estimated at ~$88B. This is one of the larger transactions to take place in the rail space in recent years. The transaction is not expected to close until halfway through 2027.
- Under the terms of the agreement, Union Pacific will acquire Norfolk Southern in a stock and cash transaction, implying a value for Norfolk Southern of $320 per share based on Union Pacific's unaffected closing stock price on July 16, 2025[1], and representing a 25% premium to Norfolk Southern's 30-trading day volume weighted average price on July 16, 2025. The value per share implies an enterprise value of $85 billion for Norfolk Southern, resulting in the creation of a combined enterprise of over $250 billion. (July 29, 2025)

BOD/Ownership



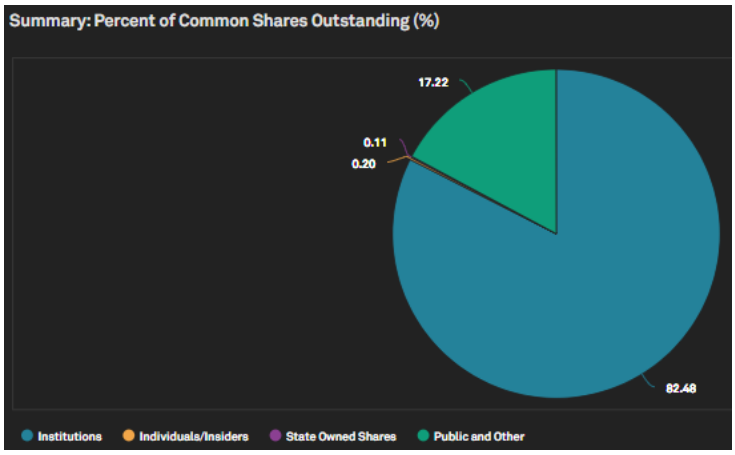
Top Executives

Name	Title	Status	Age	Gender	Office	Phone
Vincenzo James "Jim" Vena	CEO & Director	Current	66	Male	NA	NA
Jennifer L. Hamann	Executive VP & CFO	Current	57	Female	NA	NA
Todd M. Rynaski	Senior VP, Chief Accounting, Risk & Compliance Officer	Current	54	Male	NA	NA
Rahul Jalali	Executive VP & Chief Information Officer	Current	51	Male	NA	NA
Rebecca B. Gregory	VP of Administration & Chief of Staff	Current	NA	Female	NA	NA
Christina Conlin	Executive VP, Chief Legal Officer & Corporate Secretary	Current	NA	Female	NA	NA
Clarissa Beyah-Taylor	Chief Communications Officer	Current	NA	Female	NA	NA
Kenyatta G. "Kenny" Rocker	Executive Vice President of Marketing & Sales	Current	53	Male	NA	NA
Joshua K. Perkes	Senior VP & Chief Human Resources Officer	Current	NA	Male	NA	NA
Brad Stock	Assistant Vice President of Investor Relations	Current	NA	Male	NA	NA
Average			56			

Board of Directors

Name	Title	Independent Director?	Status	Age	Gender	Office	Begin Year	End Year
Michael Robert "Mike" McCarthy	Chairman of the Board	Yes	Current	73	Male	NA	2023	2026
Christopher Judson Williams	Board Director/Trustee	Yes	Current	67	Male	NA	2019	2026
David B. "Dave" Dillon	Board Director/Trustee	Yes	Current	74	Male	NA	2014	2026
Deborah Chase "Debby" Hopkins	Board Director/Trustee	Yes	Current	70	Female	New York	2017	2026
Doyle R. Simons	Board Director/Trustee	Yes	Current	61	Male	NA	2023	2026
Jane Holl Lute	Board Director/Trustee	Yes	Current	68	Female	NA	2016	2026
John K. Tien Jr.	Board Director/Trustee	Yes	Current	61	Male	NA	2023	2026
John P. Wiehoff	Board Director/Trustee	Yes	Current	63	Male	NA	2023	2026
Sheri H. Edison	Board Director/Trustee	Yes	Current	68	Female	NA	2021	2026
Teresa M. Finley	Board Director/Trustee	Yes	Current	63	Female	NA	2022	2026
Vincenzo James "Jim" Vena	Board Director/Trustee	No	Current	66	Male	NA	2023	2026
William J. "Bill" DeLaney III	Board Director/Trustee	Yes	Current	69	Male	NA	2018	NA
Average				67				

- All independent Board members apart from Jim Vena, CEO



- No investors of note

Claims :

- CNA paid a loss in 1997. No Claims paid since
- Loss runs attached

Commentary

This is one of the big household brands coming to us at a low attachment point. Union Pacific saw strong growth in 2025, with revenue, net income, and EPS increasing. This is largely in part due to the volume of Freight increasing as well as price/mix, despite headwinds like fuel surcharge and macro inflationary pressure.

Union Pacific is also committed to shareholders and YTD have generated $4.5B in cash from operations, returned $4.3B to shareholders and have a free cash flow of $1.1B. They keep their net leverage from 2.5-3x currently sitting at 2.8x. These numbers are large increases from last year with cash flow conversion at 77% (up from 70%) and dedicating $1.6B in dividends and another $2.679B in share repurchases, an increase in 153% of cash returns to shareholders on a year over year basis. They are committed to the returns, with 18 consecutive years of increased annual dividends, and a 44% reduction in shares outstanding in the past 20 years.

Union Pacific, has been, and still is committed to reinvesting back into the company, with a capital plan of $3.4B, with nearly $2B of that being focused on infrastructure replacement (rails, ties, ballast), half a billion on capacity and commercial facilities, half a billion on locomotive and equipment and the rest on technology and customer experience (including AI). They also spent nearly half the call focused on safety, and as declared by them, it is their number one priority.

The big story for Union Pacific this year is the announcement of the Norfolk Southern acquisition (with detail slides below). The main target of this transaction is the expansion of their existing lines into the Eastern United States while unlocking synergies between the two companies. The combination of these two companies would create the largest US railway by mileage as well as Market Cap.

A couple questions we need to ask ourselves about getting on the program this year are:

- Is the current program priced appropriately? Although this program is extremely cheap ($6,666/mil for XS of $75M ($100M with retention), this is a solid American company with no foreign exposure, lots of contract security, and a stable place of business (Omaha) with a long-standing track record of returns and revenue. Cheap, but the rater likes it and I don't think it's inappropriately priced
- What will be the pricing of the new program? Marsh did say that because this is a massive transaction, there will be a pricing adjustment at the time of the transaction (middle 2027). Allison said that the client understands this and knows that this comes with the territory, but don't want the AP to be a 1+1=2 situation.
- What is the likelihood of the FTC shutting this down? This is yet to be seen as we have not seen any massive merger/transaction attempts in this new administration's tenure. The Market viewed Trump's candidacy as something that would be favorable for trade and a way to jump start the equity markets, but we have still yet to see much transaction (however, IPOs are starting to commence around this time). Important to note that this would create the largest rail company in the US, which could be seen by some as too much consolidation, but with some other big players still in the space, it's not guaranteed that lawmakers will see it that way.
- What is the likelihood of a Claim from the combination? The million dollar question. It appears that Union Pacific has done their due diligence and aren't jumping into this without forethought, the number one indicator being the sheer length of the transaction (nearly 2 years), but with any transactions this size there's always a risk. This transaction sees NS valued at $320/share (currently $280/share), not far off from what is reasonable, but shareholders are always finnicky.

Transformative Scale With Balanced Financial and Business Profile

2024 Results	Union Pacific	Norfolk Southern	+
Revenue	$24.3 B	$12.1 B	$36.4 B
Operating Ratio	59.9%	66.4%	62.1%

[redacted]

Transaction Overview: Targeted Close by Early 202

Financial Terms

- Purchasing Norfolk Southern for an implied value of $320 per share; 72% stock (1:1 share) and ($88.82/share) funded through cash on hand and new debt
- Premium of 25.0% to Norfolk Southern's 30-trading day volume weighted average price on July
- Implied enterprise value of $85B for Norfolk Southern
- No Voting Trust; $2.5B reverse termination fee
- Pausing share repurchases; Debt to EBITDA at close estimated at ~3.3x
- Committed to maintaining "A" rating

Synergies & Value Creation

- Estimated $2.75B in annualized synergies through new revenue and productivity opportunities
- Adjusted EPS[2] accretive early in Year 2; high single digit Year 3+
- Debt to EBITDA reduced to ~2.8x by Year 2
- 2024 combined free cash flow of $7.3B, growing to ~$12B by Year 3
- Share repurchases resumed in Year 2, growing to $10B+ annually by Year 3

Governance

- Combined business named Union Pacific; headquartered in Omaha, NE with Atlanta, GA remain core location
- Jim Vena named Chief Executive Officer of combined company
- Three NS Directors, including Mark George & Richard Anderson, are expected to join the UP Bo Directors after closing

[1] Represents the last trading day prior to press speculation that UP was pursuing a potential acquisition of NS. | [2] Excluding incremental transaction-related amortization.

Transcontinental Railroad Unlocks Significant Syner

$1.75B

Revenue Synergies

- Converts U.S. truck volumes to rail through new single-line service
- Unlocks rail options in markets where rail is currently less efficient by connecting ~100 ports and 10 international gateways, enabling more efficient and cost-effective supply chains
- Further penetrate international markets

$1.0B

Cost Synergies

- Improve efficiency and safety from shared best operating practices and state-of-the-art technology
- Reduce purchased services and materials costs
- Enhance asset utilization and routing & shop facilities efficiencies
- Rationalize SG&A costs

$2.75

Annualized Syn Opportunity W Three Year

Union Pacific & Norfolk Southern Together Deliverir Greater Shareholder Value

Value Creation

- Estimated $2.75B in synergies achieved by end of year three post close
- Represents >$30B of value creation

EPS Accretion

- Adjusted EPS[1] accretive early in Year 2
- High single digit accretion Year 3+

Strong FCF Generation

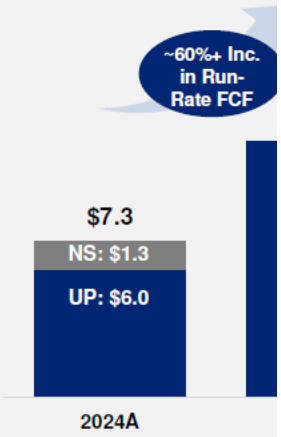
- Annual FCF growing to ~$12B by Year 3
- FCF supports continued investment in combined franchise, maintained dividend and balanced capital policy

Rapid Deleveraging

- Debt / EBITDA at close estimated at ~3.3x
- Long-term target of ~2.8x to be achieved by Year 2

Strong and Grov Cash Flow Ger

($ in Billions



[1]Excluding incremental transaction related amortization

According to Marsh, there is a Claim on Norfolk Southern, to which the motion to dismiss was denied in March of this year. This account is handled by Aon. (Securities Class Action Clearinghouse: Case Page)

I think this is one we should be a part of. I'm interested to hear from Paul, his history on this one from CNA's perspective, but I think this is a textbook company that we want in our portfolio and I can only imagine it will continue to be as such following the transaction, especially considering our larger LM relationship. What're your thoughts on getting on the program this year?

Thanks,

Jackson

Jackson Hoopes
Executive Underwriter

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